HUMAN RESOURCE MANAGEMENT

BBA III Semester - EXAM MASTER NOTES

Units I, II, III and IV | Comprehensive, exam-oriented revision manual

UNIT I	UNIT II	UNIT III	UNIT IV
HRM Foundations	Talent Acquisition	Development & Performance	Compensation, Welfare & IR

What this book is built to do

Turn the supplied syllabus, earlier HRM test and four unit note decks into organised, exam-ready answers. The manual combines clear explanations with key processes, comparison tables, methods, models and revision prompts across all four units.

Prepared as a complete four-unit BBA III Semester Human Resource Management revision manual.

1. How to Use These Notes

Start here - the earlier test shows what your faculty likes to ask.

Your supplied syllabus places Unit I on HRM foundations, Unit II on talent acquisition, and Unit III on development and performance management. The syllabus image gives Unit I 10 lectures and Units II and III 12 lectures each, so all three are substantial rather than "small units".

The earlier proprietary test was especially useful as an examiner signal: it asked HRM definition/evolution, TNA process and levels, recruitment vs selection with sources, on-the-job vs off-the-job training, HRM objectives and their relation to functions, HRP process, and Kirkpatrick + CIPP training evaluation. These are therefore marked Priority A in this manual.

Important caution

A previous test is evidence of emphasis, not a prediction of tomorrow's exact paper. Prepare the full syllabus, then revise the Priority A areas first.

Revision priority	What to master
Priority A - must write without hesitation	HRM definition + evolution; HRP process; recruitment vs selection; TNA levels/process; OJT vs off-the-job; Kirkpatrick + CIPP; HRM objectives + functions.
Priority B - likely 3/5/6 mark areas	JD vs JS; sources of recruitment; selection tests; interview techniques; training need importance; performance appraisal objectives and methods.
Priority C - complete the unit	HR manager competencies; globalization/digital HR; management development; career planning; succession planning; biases.

SOURCE NOTE: Unit 1 deck, Unit 2 deck, Unit 3 deck, the earlier HRM test, and the supplied syllabus image are the basis. Unit 3 deck gives strong detail for training/evaluation but only the topic headings for performance appraisal and career planning; the latter two sections below therefore use standard BBA HRM treatment, clearly kept aligned with the syllabus headings rather than pretending those details were present in the deck.

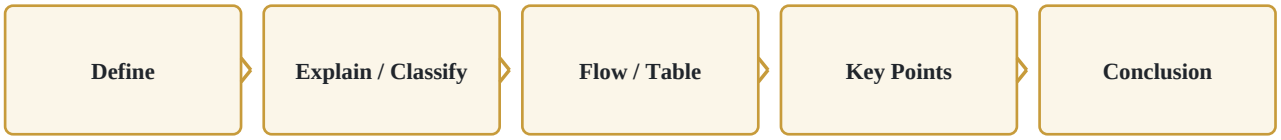
2. Exam Answer Framework

A strong answer is not just "knowledge" - it is organised knowledge.

For a 2-3 mark answer: Definition -> 3-4 core points -> one concluding line. Avoid a paragraph with no structure.

For a 5-6 mark answer: Definition -> brief introduction -> flowchart/table -> 5-7 explained points -> short conclusion.

For a long answer: Use headings. Under each heading, write 2-4 lines. Tables are excellent for differences. Flowcharts earn clarity because the examiner can see the sequence at a glance.



Presentation rule for tomorrow

Underline definitions, keywords and model names once. Do not underline whole paragraphs. Leave a small gap after every heading. Your content may be simple; your structure should look organised.

A safe conclusion line for many HRM answers: *"Thus, effective HRM aligns employee capability and organisational requirements, leading to better performance and long-term organisational effectiveness."*

UNIT I - INTRODUCTION TO HUMAN RESOURCE MANAGEMENT

Foundations, evolution, objectives, scope, functions, HR role, globalization and digital HR

The attached Unit 1 deck defines HRM as the people-management function of an organisation and places special emphasis on HRM as a strategic and coherent approach that treats people as valuable assets.

1. Definition of HRM

Standard definition - Gary Dessler

"HRM is the process of acquiring, training, appraising, and compensating employees, and of attending to their labor relations, health, safety, and fairness concerns."

In simple exam language, HRM means managing people throughout the employee lifecycle so that employees can contribute effectively to organisational objectives. It combines people skills with policies, systems and HR data.

Write these four ideas after the definition:

- Manages the complete employee lifecycle.
- Treats people as assets, not merely as a cost.
- Aligns individual goals with organisational objectives.
- Combines human judgement with policies and analytics.

Mnemonic: **"A-T-A-C"** = Acquire -> Train -> Appraise -> Compensate. Add "Labour relations, Health, Safety, Fairness" as the support layer.

2. Evolution of HRM



Stage	Main focus
Welfare Stage	Employee well-being, safety and basic amenities in factories.
Personnel Management	Administrative work: hiring, payroll, discipline and record-keeping.
HRM	Employees seen as valuable resources; focus on development and motivation.
Strategic & Digital HR	HR acts as a strategic partner; analytics, AI and automation support decisions.

Mnemonic: **W-P-H-D** = Welfare -> Personnel -> HRM -> Digital/Strategic HR. Think of it as **"Care -> Admin -> Develop -> Strategise"**.

Exam-ready evolution answer

HRM evolved as organisations moved from concern for basic welfare to administrative personnel management, then to employee development and finally to a strategic, technology-enabled approach. The direction of change is from **worker welfare** to **strategic value creation**.

3. Objectives of HRM

Objective	Meaning
Organisational objectives	Support organisational effectiveness through workforce planning and productivity.
Functional objectives	Maintain HR contribution at a level appropriate to organisational needs.
Social objectives	Respond ethically and legally to societal needs and minimise negative impact.
Personal objectives	Help employees achieve individual career and personal goals.

Mnemonic: **OFSP** = Organisational - Functional - Social - Personal. Memory line: **"Organisation, Function, Society, Person"**.

4. Scope of HRM

The scope is broad because HR manages both people processes and employee relationships. The attached deck covers:

- HR Planning, Recruitment and Selection
- Training and Development
- Performance Appraisal and Management
- Compensation and Benefits Administration
- Employee Health, Safety and Welfare
- Industrial and Labour Relations
- HR Records and HR Information Systems (HRIS)
- Career Planning and Succession Management

Mnemonic: **P-R-T-P-C-H-I-C** -> Planning, Recruitment, Training, Performance, Compensation, Health, Industrial relations, Career.

5. Functions of HRM

Managerial functions: Planning, Organising, Directing, Controlling.

Mnemonic: **PODC** = Plan -> Organise -> Direct -> Control.

Operative functions: Staffing (Procurement), Training & Development, Compensation & Rewards, Motivation & Integration, Maintenance & Welfare, and Emerging HR issues.

Memory line: **"Staff - Train - Pay - Motivate - Maintain - Evolve"**.

Very important long-answer link

Do not learn "objectives" and "functions" as separate lists only. Explain the relationship: objectives tell HR *what it must achieve*; functions are the activities through which it achieves those objectives. Example: productivity objective -> HR planning, staffing and training functions; employee career objective -> training, performance management and career development.

6. Importance of HRM in Modern Organisations

Importance	How HR contributes
Drives productivity	Better engagement and output.
Fosters innovation	Skilled and motivated employees contribute ideas and problem solving.
Ensures compliance	Handles legal, ethical and regulatory workforce obligations.
Builds competitive advantage	People are difficult for competitors to copy.
Strengthens culture	Shapes values, communication and employee relations.
Enables change management	Supports growth, restructuring and disruption.

Mnemonic: **P-I-C-A-C-C** = Productivity, Innovation, Compliance, Advantage, Culture, Change.

7. Personnel Management vs HRM

Dimension	Personnel Management	HRM
Employment contract	Careful delineation of written contracts	Aims to go beyond the contract
Rules	Emphasis on clear rules	More value/mission orientation
Behaviour referent	Norms, customs and practices	Values and mission
Managerial task	Monitoring	Nurturing
Management role	Transactional	Transformational leadership
Communication	Indirect	Direct
Conflict handling	Reach a temporary truce	Manage climate and culture
T&D;	Controlled access to courses	Learning organisation
Intervention focus	Personnel procedures	Wider cultural, structural and personnel strategies
Shared interests	Organisational interests uppermost	Mutuality of interests

Fast recall: **PM = administer people**; **HRM = develop and align people**. In an answer, use at least five comparison bases.

8. Roles and Responsibilities of HR Managers

Role	Core responsibility
Strategic Partner	Align HR strategy with business goals.
Administrative Expert	Ensure efficient HR processes and legal compliance.
Employee Champion	Advocate employee needs, morale and wellbeing.
Change Agent	Drive organisational change and transformation.
Talent Manager	Oversee recruitment, retention and succession.
Learning Facilitator	Build capability through training and development.

Mnemonic: **S-A-E-C-T-L** = Strategic - Administrative - Employee - Change - Talent - Learning.

9. Competencies Required for HR Managers

- Communication and interpersonal skills
- Ethical judgement and confidentiality
- Knowledge of labour laws and compliance
- Data and HR analytics proficiency

- Problem-solving and decision-making
- Change management and adaptability
- Digital and HR technology (HRIS) skills
- Negotiation and conflict resolution

Mnemonic: **C-E-L-D-P-C-D-N** = Communication, Ethics, Labour law, Data, Problem-solving, Change, Digital, Negotiation.

10. Changing Role of HR: Globalisation and Digital Transformation

Globalisation: HR manages multicultural and geographically dispersed workforces, cross-border compliance, global mobility/expatriates and culturally sensitive policies.

Digital transformation: AI and automation support recruitment and screening; HR analytics supports evidence-based decisions; cloud HRIS enables self-service; digital tools support remote and hybrid work.



Exam line: **"Modern HR is no longer only a support department; it is a strategic partner that uses people knowledge and technology to create organisational value."**

Unit I - most probable questions

Q. Define HRM and explain its evolution.

Q. Explain the objectives of HRM and relate them to HRM functions.

Q. Explain the scope and importance of HRM in modern organisations.

Q. Differentiate Personnel Management and HRM.

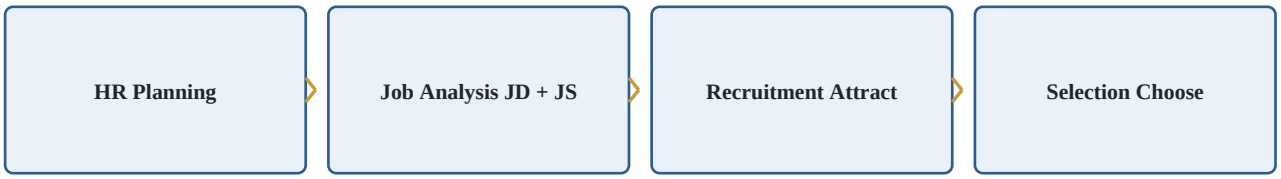
Q. Discuss roles and competencies of HR managers.

Q. Explain the changing role of HR in globalisation and digital transformation.

UNIT II - TALENT ACQUISITION (PROCUREMENT)

HR Planning, Job Analysis, Recruitment and Selection

The Unit II deck presents talent acquisition as an end-to-end pipeline: forecast people needs -> define the job -> attract candidates -> select the best fit.



1. Human Resource Planning (HRP)

Standard definition

Human Resource Planning is the process of anticipating and making provision for the movement of people into, within, and out of an organisation - ensuring the right number and kind of people are available, at the right place, at the right time.

HRP links people strategy with business strategy. Without it, organisations may face shortages that restrict growth or surpluses that increase costs.

Objectives of HRP

- Cope with change in technology, markets and products.
- Develop employees by providing a base for training and growth.
- Plan recruitment and redundancy levels in advance.
- Control HR cost within the budget.
- Match staffing requirements with organisational goals.

Mnemonic: **C-D-P-C-M** = Change - Develop - Plan recruitment - Control cost - Match goals.

Nature of HRP

- Continuous process - not a one-time activity.
- Sub-system of overall organisational planning.
- Quantitative and qualitative - covers numbers and skills.
- Futuristic - anticipates future manpower needs.
- Matches manpower supply and demand.

Mnemonic: **CSQFM** = Continuous, Sub-system, Quantitative/qualitative, Futuristic, Match.

Importance of HRP

- Right people at the right time.
- Supports growth, expansion, diversification and technology change.
- Prepares people for future needs through training.
- Reduces labour cost by avoiding over- or under-staffing.
- Provides a base for recruitment, promotion and succession decisions.

2. HRP Process



Step	What to write
1. Analyse objectives	Study organisational goals, strategy and future direction.
2. Demand forecasting	Estimate future number and type of people required.
3. Supply forecasting	Assess manpower likely to be available internally and externally.
4. Identify gaps	Compare demand with supply to identify shortage or surplus.
5. Action plan	Recruit, train, transfer, promote, redeploy or reduce as needed.
6. Monitor and control	Check results and update the plan continuously.

Mnemonic: **A-D-S-G-A-M** = Analyse -> Demand -> Supply -> Gaps -> Action -> Monitor.

3. Factors Affecting HRP

Internal factors: company policies, growth/expansion plans, budget constraints, production levels/organisation structure, turnover and absenteeism.

External factors: government policies and labour legislation, economic conditions, technological change, demographic trends, competitive conditions.

Mnemonic: Internal **P-G-B-P-T**; External **G-E-T-D-C**.

4. Forecasting Demand and Supply of HR

Demand forecasting estimates how many and what type of employees the organisation will need in future.

Method	Meaning
Managerial judgement	Experienced managers estimate future requirements from experience.
Ratio-trend analysis	Uses past staffing ratios and projects them forward.
Work-study technique	Breaks work into tasks and calculates standard time and staff need.
Delphi technique	Collects anonymous expert opinions over several rounds.
Regression analysis	Uses statistical relationships between business variables and staffing.

Mnemonic: **M-R-W-D-R** = Managerial, Ratio, Work-study, Delphi, Regression.

Internal supply: skills inventory, replacement charts, succession planning, promotion and transfer.

External supply: labour market trends, employment exchanges/job portals, campus recruitment, workforce availability.

Mnemonic: Internal **S-R-S-P**; External **L-E-C-W**.

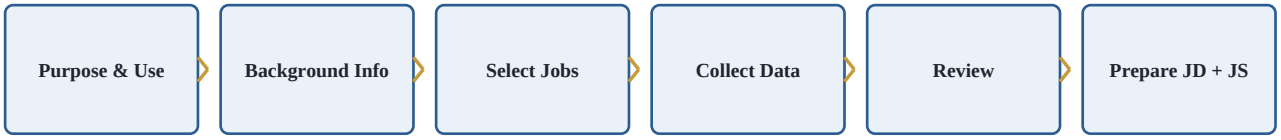
5. Job Analysis

Standard definition

Job Analysis is the systematic process of collecting and studying information about a job's content, context and requirements - what the job involves and what kind of person is needed to perform it.

Methods of collecting job data: direct observation, interviews, questionnaires/surveys, and diaries/logs. The unit deck also lists critical incidents, job performance analysis and work diaries/logs.

Process of Job Analysis

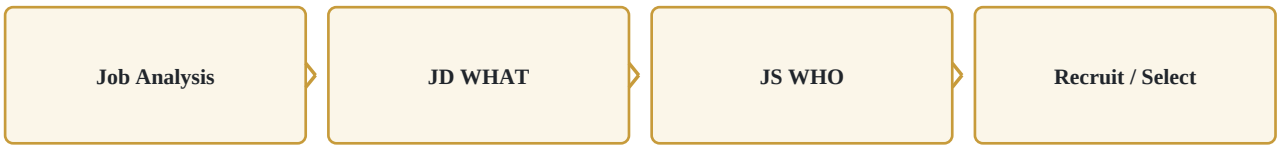


Uses: recruitment and selection; performance management; training and development; compensation and benefits; career development.

6. Job Description (JD) and Job Specification (JS)

Job Description: written document describing duties, responsibilities, tasks and objectives of a specific job. It answers **WHAT is the job?**

Job Specification: written statement of qualifications, experience and physical, mental, technical and communication abilities required. It answers **WHO can do the job?**



Basis	JD - Job Description	JS - Job Specification
Focus	Job duties, responsibilities and conditions	Person qualifications and attributes
Main question	What does the job involve?	What kind of person is required?
Use	Advertise role; set expectations	Screen/evaluate candidates
Examples	Title, reporting, duties, tools, working conditions	Education, experience, skills, personality, certifications

Mnemonic: **JD = Do**; **JS = Who**.

7. Recruitment

Standard definition - Edwin B. Flippo

Recruitment is the process of searching for prospective employees and stimulating and encouraging them to apply for jobs in an organisation. It is a positive process because it widens the applicant pool.

Recruitment process: HR planning -> job analysis -> recruitment planning -> identify sources -> contact sources -> attract candidates -> build application pool.

Factors affecting recruitment

Internal: recruitment policy, organisation size/manpower plan, cost of hiring, growth/expansion, HR planning decisions.

External: labour market conditions, legal/political factors, organisational image, unemployment rate, competitors' practices.

Internal sources: promotions, transfers, job posting, employee referrals, re-employment.

External sources: campus recruitment, advertisements/job portals/social media, employment agencies, walk-ins and external referrals.

Mnemonic - internal: **P-T-J-E-R**; external: **C-A-E-W**.

Internal vs External - one-line recall

Internal = faster, cheaper, morale boosting, but may limit fresh ideas. External = wider choice and fresh talent, but usually costs more and needs longer induction.

8. Selection

Standard definition - Edwin B. Flippo

Selection is the process of choosing individuals who have the requisite qualifications and competence to fill jobs in the organisation. It is a negative process because unsuitable candidates are eliminated.

Selection process



Types of selection tests: aptitude tests (numerical/verbal/reasoning/mechanical), personality tests, situational tests, achievement/trade tests and interest tests. Good tests should have objectivity, validity, reliability and standardisation.

Interviewing techniques: structured, unstructured, behavioural, panel, stress, group discussion, situational and technical interviews.

Mnemonic for interview techniques: **S-U-B-P-S-G-S-T**.

9. Recruitment vs Selection

Basis	Recruitment	Selection
Meaning	Searches for and attracts candidates	Chooses suitable candidate(s) from the pool
Candidate pool	Widens the pool	Reduces the pool
Sequence	Comes first	Follows recruitment
Nature	Positive process	Negative process
Main techniques	Advertising, campus drives, referrals, agencies	Tests, interviews, reference and medical checks
Outcome	Applications / candidate pool	Offer / appointment

Golden exam line: **Recruitment attracts; selection chooses.** Recruitment is positive and selection is negative.

Unit II - most probable questions

Q. Define HRP and explain its process in detail.

Q. Explain objectives and importance of HRP.

Q. Explain demand and supply forecasting methods.

Q. Define Job Analysis and distinguish JD from JS.

Q. Define recruitment and explain its internal and external sources.

Q. Differentiate recruitment and selection; state two sources of each.

Q. Explain the selection process, tests and interviewing techniques.

UNIT III - DEVELOPMENT & PERFORMANCE MANAGEMENT

Training & Development, evaluation, performance appraisal and career planning

The Unit III deck is detailed and especially useful for training, TNA, OJT/off-the-job methods, management development and training evaluation. The syllabus also requires performance appraisal and career planning/development. Those two areas are included below using standard BBA HRM treatment where the deck provides only the headings.

1. Training and Development - Meaning

Training - exam-ready definition

Training is a short-term, systematic process of imparting specific knowledge and skills required for a present job. Flippo describes it as the act of increasing an employee's knowledge and skill for doing a particular job.

Development is a long-term, education-oriented process aimed at overall growth and future roles. It is person-centred and focuses on conceptual and managerial ability.

Basis	Training	Development
Focus	Present job	Future role
Term	Short-term	Long-term
Orientation	Job / technical	Career / conceptual
Initiated by	Mainly organisation	Individual and organisation
Nature	Specific and narrow	Broad and general

Mnemonic: **Training = Today; Development = Tomorrow.**

2. Need and Importance of Training

For the organisation: bridges skill/knowledge gaps; improves quality and productivity; reduces wastage, errors and accidents; reduces supervision; prepares employees for higher responsibility; strengthens competitiveness and succession planning.

For the employee: supports adaptation to technology and changing job demands; increases confidence, morale and job satisfaction.

Mnemonic: **Q-P-S-C-S + M-C** = Quality, Productivity, Safety, Cost/supervision, Succession + Morale, Change.

3. Training Process - Six Steps



The cycle in the deck: assess organisational objectives and strategy -> conduct TNA -> establish clear training goals -> design training and development programme -> execute -> evaluate results.

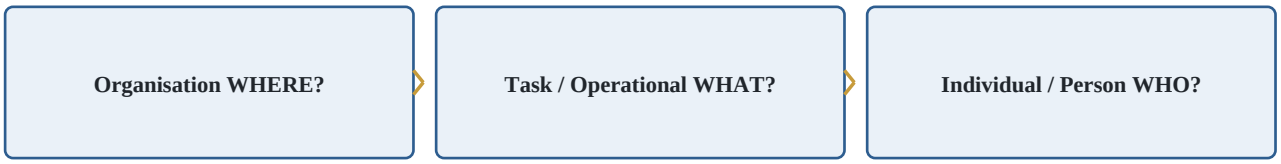
Mnemonic: **A-T-G-D-E-E** = Assess - TNA - Goals - Design - Execute - Evaluate.

4. Training Needs Analysis (TNA)

Standard exam definition

Training Need Analysis is the systematic identification of the gap between the knowledge, skills and performance required for a job and the knowledge, skills and performance actually available.

Three levels of TNA



Level	What it asks / examines
Organisational analysis	Examines goals, resources, efficiency indicators and climate to see where training can help.
Task / operational analysis	Studies job duties, standards and skills required to decide what should be taught.
Individual / person analysis	Assesses individual performance to decide who needs training and in what area.

Mnemonic: **O-T-I** = Organisation - Task - Individual. Question form: **Where? What? Who?**

Methods of TNA

- Observation
- Interviews
- Surveys
- Performance appraisals
- Job analysis
- Focus groups

Mnemonic: **O-I-S-A-J-F**.

5. On-the-Job Training (OJT)

Training is given at the actual workplace while the trainee performs real work.

- Job Rotation - move across jobs/departments to gain varied exposure.
- Coaching - experienced person guides the trainee one-to-one.
- Job Instruction Training (JIT) - prepare -> present -> try-out -> follow-up.
- Committee Assignments - solve real organisational problems in a team.
- Understudy / Apprenticeship - work under a senior to learn the role deeply.
- Internship - practical work exposure for a fixed period.
- Mentoring - longer-term developmental guidance from an experienced person.

Mnemonic: **R-C-J-C-U-I-M**.

6. Off-the-Job Training

Training is conducted away from the actual work spot so that trainees can focus on learning.

- Lecture / classroom method - theoretical and conceptual knowledge.
- Case study - analyse real or simulated business problems.

- Role playing - act out real-life situations to build interpersonal skill.
- Business games / simulation - practise strategic decision-making.
- Sensitivity training / T-group - improve self-awareness and interpersonal sensitivity.
- Vestibule training - practise on replica equipment away from production pressure.
- The deck also lists programmed instruction, conference/discussion, incident training, in-basket, brainstorming, field trips and e-learning as related off-the-job methods.

Mnemonic for the six core methods: **L-C-R-B-S-V**.

7. OJT vs Off-the-Job Training

Basis	OJT	Off-the-Job
Place	Actual workplace	Away from workplace
Cost	Usually cheaper	Usually costlier
Approach	Practical	More theoretical / conceptual
Best fit	Production / job-specific work	Managerial and non-production learning
Trainer	Often experienced employee	Experts / trainers
Core principle	Learning by performing	Learning by acquiring knowledge

One-line recall: **OJT = learn by doing at work; Off-the-job = learn away from the job.**

8. Management Development

Management development is a planned, continuous process of improving the conceptual, human and decision-making abilities of present and future managers. It is future-oriented and helps prepare successors.

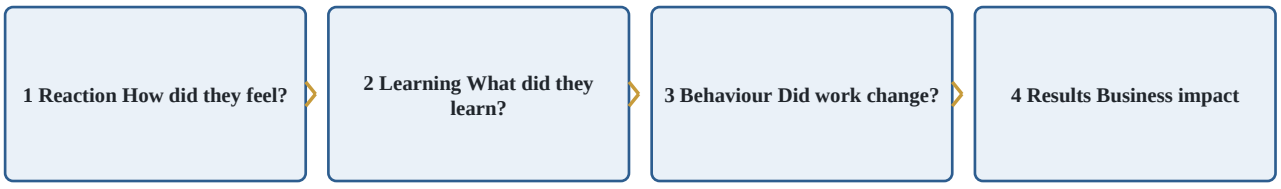
On-the-job: job rotation, coaching, understudy. **Off-the-job:** case study, in-basket technique, sensitivity training.

Objectives: improve managerial performance, prevent skill obsolescence, identify future leaders, and build reasoning, human-relations and decision-making ability.

9. Training Effectiveness and Evaluation

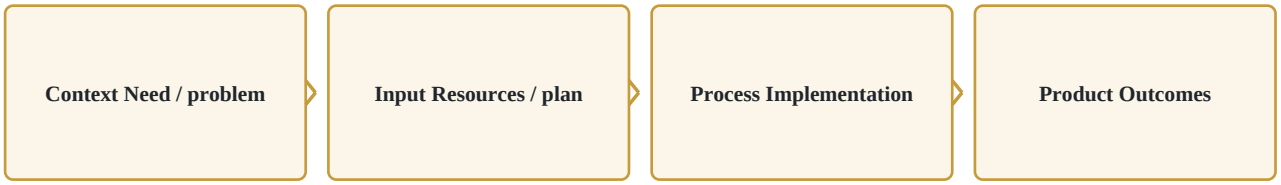
Training evaluation checks whether the programme met its objectives, improved learning and behaviour, improved organisational performance and generated value. The deck highlights objective achievement, learning outcomes, behavioural change, organisational performance and return on investment.

Kirkpatrick's Four-Level Model



Mnemonic: **R-L-B-R** = Reaction -> Learning -> Behaviour -> Results. Think: **Feel -> Learn -> Do -> Deliver.**

CIPP Model - Daniel Stufflebeam



Mnemonic: **C-I-P-P** = Context - Input - Process - Product. Think: **Why -> With what plan -> How executed -> What came out**.

Other models named in the unit deck: CIRO (Context, Input, Reaction, Outcome), Phillips ROI model (adds ROI as a fifth level), Kaufman five levels, and Brinkerhoff Success Case Method. Mention them only when the question asks for other models or a broader discussion.

10. Methods and Tools of Training Evaluation

- Questionnaires and feedback forms - immediate reactions and satisfaction.
- Written tests and assessments - pre/post learning measurement.
- Performance observation and checklists - on-the-job behaviour against standards.
- Interviews and focus groups - qualitative barriers and experiences.
- Performance metrics and business data - sales, errors, turnover and related outcomes.

How to write the 6-mark model question

Start with Kirkpatrick (4 levels), then CIPP (4 components), then list evaluation tools. This directly matches the structure of the earlier test question and prevents the answer from becoming only a theory dump.

11. Performance Appraisal

Standard definition

Performance appraisal is the systematic evaluation of an employee's performance and potential in relation to job requirements and organisational expectations.

Objectives of performance appraisal

- Provide feedback and identify strengths and weaknesses.
- Support promotion, transfer and other personnel decisions.
- Identify training and development needs.
- Set performance standards and improve future performance.
- Support compensation and reward decisions where appropriate.
- Create a basis for career development and succession planning.

Mnemonic: **F-P-T-S-C-C** = Feedback, Personnel decisions, Training, Standards, Compensation, Career.

Traditional vs Modern Methods

Traditional methods	Modern methods
Ranking; paired comparison; forced distribution; graphic rating scale; checklist/essay/critical incidents	MBO; 360-degree feedback; BARS; assessment-centre approach

Key modern methods

MBO: manager and employee agree on clear objectives; performance is assessed against results achieved.

360-degree appraisal: feedback is gathered from multiple sources such as superior, peers, subordinates and sometimes customers.

BARS: performance is rated using behavioural statements anchored to specific levels of performance.

Common appraisal biases

- Halo effect - one strong quality influences the whole rating.
- Horns effect - one negative quality lowers the whole rating.
- Recency effect - recent performance dominates judgement.
- Leniency - rater gives unusually high scores.
- Strictness - rater gives unusually low scores.
- Central tendency - rater avoids extreme ratings and scores most people near the middle.
- Similarity bias - rater favours people who resemble the rater.
- Contrast effect - rating is influenced by comparison with another employee rather than the standard.

Mnemonic: **H-H-R-L-S-C-S-C** = Halo, Horns, Recency, Leniency, Strictness, Central tendency, Similarity, Contrast.

12. Career Planning and Development

Standard definition

Career planning is the process by which an individual identifies career goals and determines the path needed to achieve those goals. Career development is the ongoing process of building skills, experience and opportunities that support career growth.

Career stages



At BBA level, explain the stages simply: **Exploration** - interests and options are identified; **Establishment** - entry and early growth; **Mid-career** - consolidation, advancement or change; **Late-career** - mentoring, senior responsibility and preparation for retirement; **Decline/retirement** - reduced work role and transition.

Succession planning

Succession planning is the systematic identification and development of employees who can take over key positions when vacancies arise. It reduces disruption, preserves organisational knowledge and supports leadership continuity.

Individual vs Organisational Career Management

Perspective	Main focus
Individual focus	Self-assessment, career goals, skill development, job choices and career decisions.
Organisational focus	Career paths, development programmes, internal mobility, succession planning and opportunities.
Best result	Both should be aligned: employee aspirations should connect with organisational opportunities and needs.

Memory line: **Individual chooses the direction; organisation creates the opportunities.**

Unit III - most probable questions

Q. Define training and distinguish training from development.

Q. Explain TNA process/levels and methods.

Q. List and explain on-the-job and off-the-job training methods.

Q. Explain OJT vs off-the-job training.

Q. Explain Kirkpatrick and CIPP models and methods of evaluation.

Q. Define performance appraisal and explain objectives / modern methods.

Q. Explain MBO, 360-degree appraisal and BARS.

Q. Discuss common biases in performance evaluation.

Q. Explain career stages and succession planning.

FINAL REVISION - TOMORROW'S 50-MARK TEST

High-yield recall, answer skeletons and mnemonics

Use this section after you have studied the detailed units. The earlier test strongly signals emphasis on the exact topics below, but tomorrow's paper can still test any syllabus item.

1. Priority A - learn these as ready-to-write answers

Topic	Write this structure
HRM definition + evolution	Definition; W-P-H-D stages; one-line conclusion on strategic HR.
TNA process and levels	Definition; organisational/task/individual; process; methods.
Recruitment vs Selection	Definition; positive vs negative; pool widens vs narrows; sources; sequence.
OJT vs Off-the-job	Definitions; 5-6 methods each; comparison table.
HRM objectives + functions	OFSP + PODC + operative functions + relationship.
HRP process	ADSGAM flowchart + demand/supply forecasting + gap/action.
Kirkpatrick + CIPP	R-L-B-R + C-I-P-P + evaluation tools.

2. One-page mnemonic bank

Mnemonic	Recall
W-P-H-D	Evolution: Welfare - Personnel - HRM - Strategic/Digital HR
OFSP	HRM objectives: Organisational - Functional - Social - Personal
PODC	Managerial functions: Planning - Organising - Directing - Controlling
S-A-E-C-T-L	HR manager roles: Strategic, Administrative, Employee, Change, Talent, Learning
A-D-S-G-A-M	HRP process: Analyse - Demand - Supply - Gaps - Action - Monitor
M-R-W-D-R	Demand forecasting: Managerial - Ratio - Work-study - Delphi - Regression
S-R-S-P / L-E-C-W	Supply: internal / external methods
JD = WHAT; JS = WHO	Job Description vs Job Specification
P-T-J-E-R / C-A-E-W	Recruitment sources: internal / external
R-L-B-R	Kirkpatrick: Reaction - Learning - Behaviour - Results
C-I-P-P	CIPP: Context - Input - Process - Product
H-H-R-L-S-C-S-C	Appraisal biases: Halo, Horns, Recency, Leniency, Strictness, Central, Similarity, Contrast

3. Ready-made flowcharts to reproduce in the exam

HRP: Analyse objectives -> Demand forecast -> Supply forecast -> Identify gaps -> Action plan -> Monitor & control

Job architecture: Job Analysis -> JD (WHAT) + JS (WHO) -> Recruitment -> Selection

TNA: Organisational analysis -> Task analysis -> Individual analysis

Training cycle: Objectives -> TNA -> Goals -> Design -> Execute -> Evaluate

Kirkpatrick: Reaction -> Learning -> Behaviour -> Results

CIPP: Context -> Input -> Process -> Product

4. Answer skeletons for the earlier test questions

Question	Best answer structure
Q1. Define HRM and note evolution.	Start with Gary Dessler definition -> explain HRM in simple words -> W-P-H-D flow -> 1-2 lines on strategic/digital HR.
Q2. Explain TNA process and levels.	Define TNA -> 3 levels O-T-I -> methods -> training process if space allows -> conclusion.
Q3. Differentiate recruitment and selection; sources.	Definitions -> 5-basis table -> 2 internal + 2 external recruitment sources -> positive vs negative.
Q4. List OJT and off-the-job methods.	Definition of each -> methods in grouped bullets -> one-line comparison.
Q5. Objectives and functions of HRM.	OFSP objectives -> managerial + operative functions -> show how functions achieve objectives -> conclusion.
Q6. HRP and process.	Definition -> 6-step flowchart -> explain each step -> mention demand/supply and gap -> conclusion.
Q7. Kirkpatrick + CIPP + evaluation methods.	Kirkpatrick 4 levels -> CIPP 4 components -> tools -> closing line on training effectiveness.

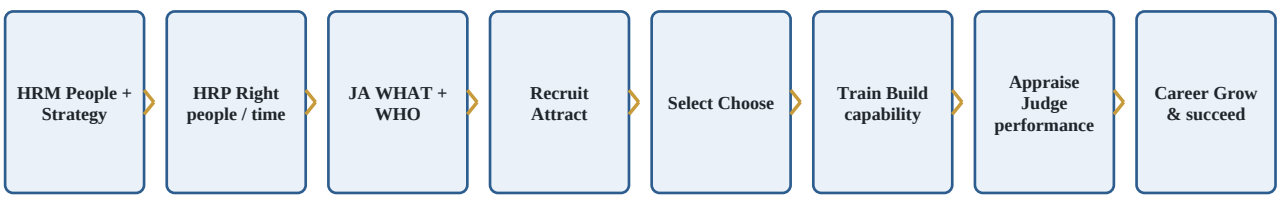
5. Last-night study plan

Time	What to do
Block 1 - 45 min	Unit I: definition, evolution, objectives, PM vs HRM, roles.
Block 2 - 60 min	Unit II: HRP process + forecasting + JD/JS + recruitment vs selection.
Block 3 - 75 min	Unit III: TNA + OJT/OFFJT + Kirkpatrick/CIPP + appraisal basics.
Block 4 - 30 min	Write 3 answers from memory using the skeletons.
Final 15 min	Only mnemonics, flowcharts, definitions. Do not start new topics.

Golden rule for the test

Do not spend ten minutes making one answer beautiful while another answer is untouched. Secure definitions, headings, flowchart, points, then move on. In a 50-mark paper, coverage matters.

6. Final ultra-fast recall sheet



If you can explain the eight boxes above without looking, you have the backbone of Units I-III. Add the model names and comparison tables and your answers become exam-ready.

Final 60-second self-check

Can I define HRM? Can I reproduce W-P-H-D? Can I write OFSP + PODC? Can I draw ADSGAM? Can I tell JD from JS? Can I explain recruitment as positive and selection as negative? Can I list TNA levels and OJT/OFFJT methods? Can I write R-L-B-R and C-I-P-P? Can I explain MBO, 360, BARS and the major appraisal biases? If yes, stop reading and sleep.

END OF MASTER NOTES

Study the structure. Write the headings. Then explain in your own words.

UNIT IV - COMPENSATION, EMPLOYEE WELFARE & INDUSTRIAL RELATIONS

Job evaluation, wages, welfare, industrial relations, disputes, collective bargaining and grievances

This section continues the previously prepared Units I-III manual and completes the four-unit set. Unit IV explains how an organisation values jobs, rewards employees, provides welfare facilities and manages employment relationships. It then covers the prevention and settlement of industrial disputes, collective negotiation and fair grievance redressal.

The unit in one line

Evaluate the job -> design fair compensation -> support employee welfare -> maintain sound industrial relations -> prevent or settle disputes -> negotiate collectively -> resolve individual grievances.

1. Unit roadmap

Topic	What to master
1. Job evaluation	Assess the relative worth of jobs.
2. Employee compensation	Understand direct pay, incentives and fringe benefits.
3. Wage policy and wage boards	Study wage objectives, determination, boards and administration.
4. Employee welfare	Examine facilities and services beyond wages.
5. Industrial relations	Understand employer, employee/union and government relationships.
6. Industrial disputes	Study causes, prevention and settlement machinery.
7. Collective bargaining	Understand negotiation over wages and conditions of work.
8. Grievance handling	Follow complaint redressal and settlement procedures.

How to write Unit IV answers

For a short answer: define the term and add 3-4 relevant points. For a long answer: introduce the concept, classify or draw the process, explain each heading, add a comparison/table where useful, and close with its contribution to fairness, productivity or industrial harmony.

2. Job Evaluation

Definition

Job evaluation is a systematic assessment of the relative value or worth of jobs within an organisation so that pay can be set fairly.

Why it matters: It provides a transparent and defensible foundation for pay structures, promotions and internal equity. It compares the job itself rather than simply judging the person who currently performs it.

Objectives of job evaluation

Objective	Explanation
Determine relative job worth	Establish the value of one job compared with other jobs in the organisation.
Ensure fair pay	Create a rational basis for pay differences between jobs.
Support recruitment and retention	Help the organisation offer pay that is consistent and credible.
Provide a basis for promotion	Clarify job levels and support movement between roles.
Aid performance management	Connect job expectations and responsibilities with the organisation's people systems.
Build internal equity	Support consistent treatment of jobs with comparable value.
Align jobs with organisational goals	Reflect the importance and contribution of roles to organisational priorities.
Ensure legal compliance	Help create defensible and consistent pay practices.

Six methods of job evaluation

Method	How it works
Ranking	Jobs are ordered from highest to lowest relative worth.
Classification / grading	Jobs are placed into predefined grades or classes.
Point-factor	Each job is scored on selected factors; the total points indicate job value.
Factor comparison	Jobs are compared factor by factor against selected benchmark jobs.
Hay Guide Chart-Profile	Rates know-how, problem-solving and accountability.
Market pricing	Job worth is assessed using what the market pays for similar jobs.

Memory cue

Ranking = order; Classification = grade; Point-factor = points; Factor comparison = benchmark; Hay = three profile factors; Market pricing = external market rate.

3. Job Evaluation Methods - Detailed Notes

1. Ranking method

Jobs are arranged from the highest to the lowest in terms of their overall relative worth. It is simple to understand and useful where the number of jobs is limited, but the ranking does not by itself show the exact size of the difference between jobs.

2. Classification method

The organisation first defines job grades or classes and then places each job into the grade that best matches its duties, responsibility and level. The grade structure makes job levels easier to communicate and administer.

3. Point-factor method

The job is broken into factors such as skills, responsibility, effort and working conditions. Each factor receives a weight or point value. Evaluators rate the job on each factor and add the points to obtain a total job value.

Identify key factors	Assign factor weights	Rate each job	Add points for total value

Factor	HR Executive	HR Manager
Skills and knowledge	30	40
Responsibility	20	35
Effort	15	15
Working conditions	10	10
Total points	75	100

In the supplied example, the HR Manager scores 100 points and the HR Executive scores 75. The higher total indicates greater assessed job value under the selected point system.

4. Factor-comparison method

Selected benchmark jobs are used as references. Other jobs are compared with them factor by factor, using an established scale such as a rating scale or monetary value.

Factor	HR Executive	HR Manager	Benchmark scale
Skills and knowledge	Moderate	High	1-5
Mental effort	Moderate	High	1-5
Responsibility	Low-Moderate	High	1-5
Working conditions	Normal	Normal	1-5

5. Hay Guide Chart-Profile method

This method evaluates the overall job profile through three major factors: **know-how** (knowledge, skills and experience required), **problem-solving** (the thinking and problem-solving required) and **accountability** (responsibility for decisions and results). The supplied example rates a Senior Manager as high on all three factors. It focuses on the overall profile rather than looking at isolated factors only.

6. Market-pricing method

The organisation compares a job with similar jobs in the external labour market and uses market pay information to help establish the job's value.

4. Job Levels, Value Factors and Challenges

Illustrative career ladders in a global job-levelling system

The supplied slide shows that organisations may maintain separate management, professional and support career streams. These streams provide progression without requiring every employee to move into a people-management role.

Stream	Progression from entry to senior level
Management	Supervisor -> Senior Supervisor -> Manager -> Senior Manager -> Director -> Senior Director -> Vice President (levels 1-7).
Professional	Entry -> Developing -> Career -> Advanced -> Expert -> Principal (levels 1-6).
Support	Entry -> Intermediate -> Senior -> Highly Skilled -> Specialist (levels 1-5).

The source illustration places these career streams against a wider grade architecture (shown as Grades 2 to 11). It is an example of how job levels and career paths can be made visible across different kinds of work.

Factors considered when assessing job value

Factor	What it signals
Organisational strategy	How closely the role supports strategic priorities.
Job complexity	The difficulty, variety and judgement involved.
Skills and experience	The knowledge and capability required.
Responsibility	Accountability for people, assets, decisions or outcomes.
Working conditions and effort	Physical or mental effort and the conditions under which work is done.
Impact on results	The role's influence on organisational performance.
Market trends and skill scarcity	Availability and market value of the required skills.
Legal compliance and interdependence	Legal requirements and the role's links with other jobs.

Challenges in job evaluation

Challenge	What can go wrong
Subjectivity in ratings	Different evaluators may judge the same job differently.
Complexity and time	Detailed evaluation can require substantial effort and resources.
Keeping evaluations current	Jobs change as technology, structure and work methods change.
Employee perceptions	Employees may view the result as unfair or biased.
Market alignment	Internal job values may not match changing external pay rates.
Consistency and integration	Ratings need consistency across units and alignment with HR systems.

Exam point

A sound job-evaluation system should be systematic, consistent, transparent and reviewed when jobs or organisational requirements change.

5. Employee Compensation

Meaning

Compensation is the total package of financial and non-financial rewards an employee receives in return for work done. It goes beyond the salary slip and includes pay, incentives and benefits.

Objectives of compensation

Objective	Explanation
Attract talented people	Competitive rewards help draw capable candidates.
Retain good employees	Fair and valued rewards encourage employees to stay.
Motivate performance	Linking rewards to contribution can encourage effort and results.
Ensure equity	Maintain fairness within the organisation and against the external market.
Comply with law	Meet wage and benefit obligations, including relevant employee-benefit requirements such as PF in India.

Direct pay and indirect rewards / fringe benefits

Direct compensation: base pay and incentives	Indirect compensation: fringe benefits
Base salary or wages	Health insurance
Bonuses	Retirement plans
Commissions	Life and disability insurance
Overtime pay	Paid time off
Profit sharing	Employee services
Performance pay	Stock options or equity
	Non-monetary rewards

Why compensation matters

Contribution	How it helps
Attracts talent	Competitive packages draw skilled people.
Improves retention	Fair rewards help keep good employees.
Motivates	Pay linked to performance can drive effort.
Raises satisfaction	Employees who feel fairly paid are more satisfied.
Ensures equity	Similar jobs receive reasonably similar rewards.
Supports development	Rewards can encourage growth and learning.
Aligns with goals	Pay communicates what the organisation values.
Ensures compliance	Pay practices meet applicable wage and benefit requirements.

6. Wage Policy, Wage Determination and Wage Boards

A wage policy sets the principles and rules that guide how employees are paid. It aims to make wages fair and adequate while supporting productivity, economic stability and industrial peace.

Wage policy objectives	Wage policy components
Fair and adequate wages	Minimum, fair and living wage
Reduce disparities in pay	Internal and external equity
Support economic stability	Wage differentials
Raise productivity	Incentives
Maintain industrial peace	Wage revision and wage administration
	Legal compliance

Factors affecting wage determination

Factor	How it affects wage decisions
Employer's ability to pay	The organisation's financial capacity places a practical limit on pay.
Market rates	Comparable market salaries influence the wage level.
Cost of living	Changes in living costs affect wage adequacy.
Government regulation	Wages must take account of applicable legal requirements.
Trade unions	Union representation and negotiation influence wage outcomes.
Job requirements and skills	More demanding or scarce skills can affect pay.
Productivity	Output and performance may influence wage decisions.
Labour demand and supply	Availability of workers affects wage pressure.
Industry conditions	The economic position and practices of the industry matter.

Mechanisms used to determine wages

Collective bargaining	Market-based pay	Job evaluation	Government regulation

The mechanisms may be used together. For example, job evaluation supports internal equity, market data supports external competitiveness, collective bargaining gives organised employee representation, and government regulation sets legal boundaries.

Wage boards

A wage board brings together representatives of the three main parties - **government, employers and trade unions** - and may also include independent experts. It provides a forum for considering wage structures and competing interests.

Functions	Advantages	Challenges
Set minimum wages; review wage structures; address pay disparities; advise government.	Balanced representation; expert input; flexibility.	Enforcing recommendations; balancing competing interests; keeping rates updated.

7. Wage and Salary Administration

Wage and salary administration means designing, applying and reviewing the organisation's pay structure while taking account of relevant organisational, employee, market and legal limits.

Ten factors influencing pay administration

Factor	Practical consideration
Ability to pay	Can the organisation sustain the proposed pay structure?
Market rates	How are comparable jobs paid in the labour market?
Cost of living	Does pay remain adequate in light of living costs?
Laws and rules	Does the structure comply with applicable requirements?
Trade unions	What has been negotiated or represented collectively?
Job evaluation	What is the internal relative worth of the job?
Skills	What capabilities and scarcity does the role require?
Performance	How should contribution affect variable or performance pay?
Labour market	What are the supply and demand conditions?
Pay policy	What principles and pay ranges has the organisation adopted?

Fast recall

Ability to pay, Market rates, Cost of living, Laws, Trade unions, Job evaluation, Skills, Performance, Labour market, Pay policy.

8. Employee Welfare

Meaning

Employee welfare refers to organised facilities and services that an employer provides over and above wages for workers' wellbeing. The supplied deck describes the ILO view as measures for workers' comfort, safety and satisfaction.

Objectives of employee welfare

Objective	Expected contribution
Improve working conditions	Make the work environment more suitable.
Protect health and safety	Support employee wellbeing and safe work.
Raise morale and satisfaction	Help employees feel supported and valued.
Boost productivity	Support better performance and continuity.
Reduce absenteeism and turnover	Address conditions that can cause absence or resignation.
Attract and retain talent	Make the organisation a more attractive workplace.
Support workers' families	Extend appropriate support beyond the employee.
Build goodwill and industrial harmony	Strengthen trust and relationships.

9. Types of Employee Welfare Facilities

Type	Meaning / examples
Statutory	Facilities required by law.
Non-statutory	Facilities offered voluntarily by the employer.
Financial	Loans, allowances and financial aid.
Health	Medical care, hygiene and safety facilities.
Housing	Quarters or housing support.
Recreational and cultural	Sports, clubs and cultural events.
Educational and training	Learning opportunities and skill-building.
Transport	Commuting facilities.

Role of HR in employee welfare

- Plans welfare programmes and ensures that they address employee needs.
- Implements programmes, monitors their use and reviews their effectiveness.
- Ensures legal compliance and supports health and safety.
- Keeps employees engaged, handles grievances and improves programmes continuously.

Challenges in welfare administration

- Limited budgets and different needs across employee groups.
- Difficulty measuring the impact of welfare programmes.
- Keeping up with changing laws and regulations.
- Low employee awareness or use of available facilities.

10. Industrial Relations

Meaning

Industrial relations are the relationships among employers, employees and the government that shape how work is organised and how workplace conflict is handled.

Nature of industrial relations

Feature	Explanation
Bipartite or tripartite	May involve two parties or employers, workers/unions and government.
Collective bargaining	Negotiation is an important way of shaping employment terms.
Conflict and cooperation	The relationship can involve disagreement as well as joint problem-solving.
Dynamic and union-influenced	It changes over time and is shaped by employee representation.
Globalisation	Cross-border activity and changing labour markets influence relations.
HRM and social justice	It connects workplace management with fairness and the interests of both sides.

11. Types, Scope and Importance of Industrial Relations

Type	Meaning
Individual	Relationship between one employee and the employer.
Collective	Relationship between groups of workers and management.
Employer-employee	The everyday working relationship between the organisation and its employees.
Employer-union	Management dealings with union representatives.
Tripartite	Government, employers and unions participate together.
Public sector	Industrial relations in government-owned bodies.
Private sector	Industrial relations in privately owned firms.

Scope and importance

Scope	Importance
Employer-employee relations	Industrial peace and fewer disputes.
Union-management relations	Higher productivity.
Collective bargaining	Better morale and cooperation.
Disputes and their settlement	Protection of both parties' interests.
Grievance handling	Social justice and economic growth.
Labour laws and government role	A framework for workplace rights and responsibilities.

12. Industrial Disputes

Meaning under the supplied deck

Under the Industrial Disputes Act, 1947, an industrial dispute is a difference between employers and workmen, or among workers, connected with employment, non-employment or the terms and conditions of work.

Main causes of industrial disputes

Wages and allowances	Working conditions	Supervision / management style	Job security / retrenchment	Violation of agreements / laws

Ten types of industrial disputes identified in the deck

1-5	6-10
Wage disputes	Promotion and transfer
Working conditions	Bonus and incentive
Disciplinary matters	Union recognition
Retrenchment	Leave and benefits
Dismissal	Workload and working hours

13. Prevention and Settlement of Industrial Disputes

Preventive machinery aims to identify and resolve workplace issues before they become formal industrial disputes.

Preventive mechanism	How it works
Works committees	Employer and worker representatives discuss day-to-day workplace issues.
Joint consultation	Regular dialogue between management and workers.
Grievance handling	Complaints are addressed before they grow into wider disputes.
Code of discipline	Agreed standards of conduct guide both sides.

Settlement machinery - sequence

1. Conciliation officer	2. Board of conciliation	3. Arbitration	4. Labour Court	5. Industrial Tribunal	6. National Tribunal

The first two stages attempt to bring the parties to an agreement. Arbitration is voluntary: the parties choose an arbitrator, and the award binds them. The final three stages are adjudicatory bodies that decide the dispute.

Conciliation procedure

- **Appointment:** Government appoints a conciliation officer or a board of conciliation.
- **Investigation:** The officer or board meets the parties, investigates the matter and encourages a fair settlement.
- **Settlement:** If the parties agree, a signed memorandum records the settlement and binds the parties.
- **Failure:** If conciliation fails, the officer sends a report to government within 14 days; for a board, the supplied deck states two months.

Voluntary arbitration procedure

- Both parties agree in writing to refer the dispute to arbitration.
- They select the arbitrator and, where the number is even, an umpire.
- The arbitrator hears both sides and issues an award that binds the parties.

Types of adjudicatory bodies

Body	Role / subject area as summarised in the deck
Labour Court	A single judge; matters such as dismissal, discharge and standing orders.
Industrial Tribunal	Wider matters including wages, hours, bonus and retrenchment.
National Tribunal	Set up by the Central Government for disputes of national importance.

Route to adjudication

The deck describes adjudication as proceeding through the relevant court or tribunal by government reference.

14. Collective Bargaining - Meaning and Principles

Meaning

Collective bargaining is a process in which representatives of workers and employers negotiate wages and conditions of work and reach an agreement that binds both sides. It gives workers a collective voice and gives employers an orderly way to address shared issues.

What collective bargaining does

- Sets wages and working conditions.
- Balances the bargaining power of workers and employers.
- Provides a peaceful way to address and settle conflict.
- Produces a written agreement that records the negotiated terms.
- Builds industrial democracy and can reduce the need for strikes.

Eight principles of collective bargaining

Principle	Meaning in practice
Good faith	Parties approach negotiations honestly and with a genuine intention to reach agreement.
Mutual trust and respect	Each side recognises the other side's role and concerns.
Voluntary participation	The parties participate in the process voluntarily.
Give and take	Both sides may make reasonable concessions to narrow differences.
Equality and fair representation	Each side should have an appropriate voice in the discussions.
Continuous dialogue	Communication should continue rather than occur only at moments of conflict.
Problem-solving	Negotiations should focus on practical solutions to shared issues.
Compliance with agreements	The parties should honour and implement the agreed terms.

Exam-ready conclusion

Collective bargaining creates an orderly and representative process for determining employment terms, balancing interests and supporting industrial peace.

15. Types and Levels of Collective Bargaining

Eight types of collective bargaining

Type	Core idea
Distributive	Divides economic gains such as wages; it is often described as a win-lose approach.
Integrative	Cooperative, win-win problem-solving based on shared interests.
Productivity	Links new methods or productivity standards with higher pay or gains.
Composite	Covers issues beyond pay, such as job security and safety.
Concessionary	Employees may give up some benefits to help the organisation during difficult times.
Attitudinal structuring	Builds trust and improves attitudes between management and workers.
Intra-organisational	Builds agreement within each side before the formal talks.
Continuous	Regular, ongoing discussion rather than negotiation only at contract intervals.

Eight levels of collective bargaining

Level	Coverage
Plant	Management and workers of a single plant.
Industry	Employer associations and unions across an industry.
National	National federations, employers and sometimes government.
Sectoral	One sector, such as banking or healthcare.
Regional	Labour issues within a geographic region.
Multi-employer	Several employers negotiate together with unions.
Enterprise	All units of a single company.
International	Multinational organisations and global labour bodies dealing with cross-border standards.

Do not confuse type with level

Type describes the style or subject of bargaining; level describes where or across what organisational/geographic area bargaining takes place.

16. Collective Bargaining - Procedure, Advantages and Disadvantages

Eight-step bargaining procedure

Step	Action
1. Preparation	Gather information, assess the situation and set goals.
2. Identify issues	Agree on the agenda and list the demands or matters to be discussed.
3. Select representatives	Choose the negotiating teams for each side.
4. Negotiation	Present positions, explain needs and discuss proposals.
5. Bargaining and compromise	Trade concessions and narrow the gaps between positions.
6. Agreement	Write down the terms that have been settled.
7. Ratification	Obtain approval from members and management as required.
8. Implementation and follow-up	Apply the terms and review whether they are being followed.

Prepare	Identify issues	Select representatives	Negotiate	Compromise	Agree	Ratify	Implement

Advantages and disadvantages

Advantages	Disadvantages
Promotes industrial peace and harmony.	Can be time-consuming.
Protects employee rights and interests.	Negotiations may reach deadlock.
Can improve wages and working conditions.	Rivalry may arise between unions.
Strengthens employer-employee relations.	Bargaining power may be unequal.
Encourages industrial democracy.	Negotiation has a cost.
Reduces disputes and conflict.	The process can become confrontational.
Can enhance productivity and efficiency.	Agreements may be difficult to implement.
Supports organisational stability and growth.	Individual employees may be overlooked.

Answer structure

Define collective bargaining -> explain its purpose -> reproduce the eight-step procedure -> discuss advantages and limitations -> conclude with its role in industrial peace.

17. Grievance Handling - Meaning, Nature and Causes

Meaning

A grievance is an employee's complaint or dissatisfaction about something at work - real or imagined - that calls for corrective action.

Nature of grievances

- They arise from dissatisfaction connected with employment.
- They may be raised formally or informally.
- If left unresolved, they can damage morale and working relationships.
- They require impartial and fair handling.

Ten common causes of grievances

1-5	6-10
Wages	Transfers
Promotion	Leave
Working conditions	Appraisal
Workload	Discipline
Management behaviour	Job security

Eight-step grievance procedure

1. Receive	**2. Acknowledge**	**3. Investigate**	**4. Analyse**
5. Act	**6. Communicate**	**7. Appeal**	**8. Follow up**

Step	What HR / management should do
Receive	Take the employee's complaint and record the issue.
Acknowledge	Confirm that the complaint has been heard and will be considered.
Investigate	Collect facts and hear the relevant people.
Analyse	Examine the evidence and identify the issue requiring action.
Act	Take appropriate corrective action.
Communicate	Explain the decision and its reasons to the employee.
Appeal	Allow review by a higher authority where required.
Follow up	Check that the solution has worked and the problem has not returned.

18. Grievance Principles and Redressal Machinery

Five principles of grievance handling

Promptness	Fairness and impartiality	Confidentiality	Multiple channels	Documentation and follow-up

The complaint should be acknowledged without unnecessary delay, investigated objectively, discussed confidentially and recorded properly. Employees should have a clear way to raise the issue and a route for review or appeal.

In-house redressal mechanisms

Mechanism	Purpose
Open-door policy	Allows employees to approach managers or HR with concerns.
Grievance procedure and committee	Provides a defined route for receiving, considering and deciding complaints.
Employee representation	Allows employees or representatives to participate in the process.
Mediation and arbitration	Provides structured ways to help resolve disagreements.
Suggestion and complaint system	Gives employees channels for raising problems and proposing improvements.
HR department	Coordinates, records and monitors grievance handling.
Escalation and appeal	Allows a higher level of review if the employee is dissatisfied.

Statutory machinery in India - as stated in the supplied Unit IV deck

Mechanism	Threshold / role stated in the deck
Grievance Redressal Committee	Industrial Relations Code, 2020: 20 or more workers.
Works committee	Industrial Disputes Act, 1947: 100 or more workmen.
Conciliation officer and board	Help parties attempt settlement.
Labour Court and Industrial Tribunal	Adjudicate disputes within their respective areas.
National Industrial Tribunal	Deals with disputes of national importance.
Voluntary arbitration and adjudication	Additional routes for dispute resolution.

Study note

The thresholds and statutory references above are reproduced from the supplied Unit IV PPT for syllabus alignment. For an actual legal or compliance decision, verify the currently applicable legislation and official notifications.

19. Unit IV - Comprehensive Revision Sheet

Topic	Fast recall
Job evaluation	Systematically ranks / assesses the relative worth of jobs to support fair pay.
Compensation	Total financial and non-financial reward: base pay, incentives and fringe benefits.
Wage policy	Fair and adequate wages, equity, productivity, wage revision and legal compliance.
Wage determination	Ability to pay, market rates, cost of living, law, unions, skills, productivity and labour supply-demand.
Wage boards	Government + employers + trade unions; independent experts may participate.
Employee welfare	Facilities beyond wages: statutory, non-statutory, financial, health, housing, recreational, educational and transport.
Industrial relations	Relationships among employers, employees/unions and government.
Industrial disputes	Causes include wages, conditions, supervision, job security and violations of agreements or laws.
Dispute settlement	Conciliation -> board -> arbitration -> Labour Court -> Industrial Tribunal -> National Tribunal.
Collective bargaining	Representatives negotiate wages and conditions; eight-step procedure from preparation to implementation.
Grievance handling	Receive -> acknowledge -> investigate -> analyse -> act -> communicate -> appeal -> follow up.

Key processes to reproduce in an examination

Job evaluation	**Fair pay design**	**Welfare support**	**Industrial relations**
Prevent disputes	**Settle disputes**	**Collective bargaining**	**Grievance redressal**

Class discussion / application questions from the supplied deck

- A start-up has ten jobs and no pay structure. Which job-evaluation method would you choose, and why?
- Why might a fringe benefit be worth more to an employee than the same amount as salary?
- How can ability to pay and cost of living pull a wage decision in opposite directions?
- Which welfare facilities in a company are statutory, and which are voluntary?
- A strike begins over bonus payment. Which preventive and settlement machinery could have been used?
- An employee says a promotion was unfair. Walk through the grievance procedure step by step.

Source topics listed on the deck's further-reading slide

Job evaluation; employee compensation; wage policy, wage determination, wage boards and wage/salary administration; employee welfare; industrial relations; industrial disputes and settlement machinery; collective bargaining; grievance handling and redressal machinery. The deck lists theintactone.com as its source site.

Final self-check

Can I define job evaluation and explain all six methods? Can I distinguish direct and indirect compensation? Can I list the wage-determination factors and ten pay-administration factors? Can I explain all eight welfare types? Can I define industrial relations and list its seven types? Can I reproduce dispute prevention and settlement machinery? Can I write the eight types, levels and steps of collective bargaining? Can I explain the eight grievance steps and five principles?

END OF UNIT IV NOTES

Study the headings, reproduce the processes, and explain each point in clear exam language.